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Course: ECON 1BB3: Introductory
Macroeconomics

Assignment: Chapter 1

1. Which of the following best describes scarcity?

- ☐ A. Wants cannot be fulfilled and thus all goods must be rationed.
- ☐ B. Markets cannot properly allocate resources.
- ☐ C. Prices of goods are very high.
- ☒ D. Unlimited wants exceed the limited resources available.

Scarcity is central to the study of economics because it implies that

- ☒ A. every choice involves an opportunity cost.
- ☐ B. wants are unlimited.
- ☐ C. society must make decisions at the margin.
- ☐ D. economic agents are rational.

2. Lizzy Pope and Jean Harvey found that offering first-year university students money to go to the gym on a regular basis increased gym attendance in the fall semester between 49 and 51 percent and by 36 percent in the spring semester. They also found that the impact of the monetary incentive decreased when the number of trips required to get paid increased from 2 per week to 5 per week.

a. Why might a monetary payment affect whether or not people go the gym when the health benefits of physical activity are so well documented?

- ☒ A. When deciding whether or not to go to the gym, people are comparing what they miss out on and the relatively small benefit any single workout will have on their overall health. The monetary payment creates an incentive for each individual workout.
- ☐ B. Health benefits cannot be considered as incentives. Incentives apply only to monetary values. People only consider monetary effect before taking action.
- ☐ C. Using a gym is likely to have negative effects on someone's health. The monetary payment is necessary because there are no health-related incentives for going to the gym.
- ☐ D. The monetary payment will have a negative effect on whether people decide to go to the gym.

b. Why might a payment not cause some people to go the gym?

- ☐ A. A person might view a payment for going to the gym as unethical. This could have a negative result and cause many people who do regularly attend the gym to opt to not attend the gym as they do not want to receive a payment.
- ☐ B. The payment cannot be considered a true incentive because you cannot compare monetary incentives to health incentives.
- ☒ C. When deciding whether or not to go to the gym, a person might weigh their options. If the cost of not going to the gym outweighs the reward, then that person would make the decision not to go.
- ☐ D. Most people often do not consider the economic results when making a decision. Most decisions are made without any concern for cost.

3. Late in the semester, your friend John tells you, "I was going to drop my psychology course so I could concentrate on my other courses, but I had already put so much time into the course I decided not to drop it."

Is John's reasoning correct or incorrect?

- ☐ A. John's reasoning is correct. The benefit of passing the psychology course outweighs the toll it takes on his other courses.
- ☐ B. John's reasoning is correct. John should take as many courses at once as possible because it decreases the amount of time he spends on an individual course while increasing the amount of credits he can get.
- ☒ C. John's reasoning is incorrect. John is failing to think at the margin. If the marginal benefit of concentration on his other courses goin forward is greater than the marginal benefit of continuing the psychology course, John should drop it, regardless of how much time already put in.
- ☐ D. John's reasoning is incorrect. Dropping one course would not allow John to concentrate on other courses.

Would it make a difference to your answer if John has to pass the psychology course at some point to graduate? Briefly explain.

- ☒ A. Yes. The fact that John has to pass the course eventually would likely raise the marginal benefit to John of continuing with the psychology course now, since passing the course now means he would not need to repeat the course later.
- ☐ B. Yes. If John needs this course to graduate then that likely decreases the marginal benefit of taking it now.
- ☐ C. No. The marginal benefit of taking the class now does not likely change if knowing that John must pass the course to graduate.
- ☐ D. No. There is no benefit to taking the class now.

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4. Suppose Apple is currently selling 2,000,000 iPods per year. However, managers at Apple are considering whether to increase production by 200,000 iPods. One manager explains that after increasing production by this amount, total profit would be \$100 million. Given this information, should Apple increase production by 200,000 iPods?

- ☒ A. Information about the additional revenue earned and the additional cost incurred from producing 200,000 additional iPods is require to answer this question.
- ☐ B. Yes, because Apple would earn a profit.
- ☐ C. No, because increasing production by 200,000 iPods would decrease the price of iPods.
- ☐ D. Information about the total revenue earned and the total cost incurred from producing 2,200,000 iPods is required to answer this question.
- ☐ E. Information about the additional cost incurred from producing 200,000 additional iPods is required to answer this question.

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5. Economists use the word *marginal* to mean an extra or additional benefit or cost of a decision. An optimal decision occurs when

- ☒ A. marginal benefit equals marginal cost.
- ☐ B. marginal benefit is greater than marginal cost.
- ☐ C. marginal benefit is maximized.
- ☐ D. marginal cost is zero.

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6. A market is a group of buyers and sellers of a good or service and the institution or arrangement by which they come together to trade.

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7. Suppose, in an effort to prevent the population from declining, Italy begins offering new mothers extended periods of paid family leave from work and, consequently, the birthrate per woman increases.

If so, then this could best be characterized as an example of people responding to

- ☐ A. envy.
 - ☐ B. compassion.
 - ☐ C. religious beliefs.
 - ☐ D. accounting principles.
 - ☒ E. economic incentives.
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8. When economists develop models designed to explain the choices people make, they generally assume that

- ☐ A. consumers do not act to achieve their goals.
 - ☐ B. people make the best decisions.
 - ☐ C. consumers do not use all available information.
 - ☒ D. people are rational.
 - ☐ E. everyone knows everything.
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9. Economics assumes people and firms:

- ☐ A. know everything, respond to incentives, and make decisions by comparing marginal benefits with marginal costs.
 - ☐ B. are rational, respond to incentives, and make all-or-nothing decisions.
 - ☐ C. use all available information to achieve their goals, respond to incentives, and make decisions by comparing total benefits with total costs.
 - ☒ D. are rational, respond to incentives, and make decisions by comparing marginal benefits with marginal costs.
 - ☐ E. use all available information to achieve their goals, respond to incentives, and make decisions by continuing any activity up to the point where the marginal benefit equals zero.
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10. Economics is the study of the choices people make to attain their goals, given their scarce resources.

11. The three economic questions that every society must answer are

- ☐ A. What economic system will be used, how will it be implemented, and who will make market decisions?
- ☐ B. What kind of government will the society have, how will it be run, and who will run it?
- ☐ C. What are the prices of goods, how are they determined, and who will pay for them?
- ☒ D. What goods will be produced, how will they be produced, and who will receive the goods?

Centrally planned economies allocate resources based on decisions by government , while market economies answer these questions through decisions made by households and firms .

12. The underlying reason that centrally planned economies¹ have been less efficient seems to be that such planned economies do not give as great incentives for hard work and innovation as market economies² do.

If market economies are more economically efficient³ than centrally planned economies, there still might be a reason to prefer having a centrally planned economy if it is more equitable .

1: Definition

Centrally planned economy An economy in which the government decides how economic resources will be allocated.

2: Definition

Market economy An economy in which the decisions of households and firms interacting in markets allocate economic resources.

3: Definition

Productive efficiency The situation in which a good or service is produced at the lowest possible cost.

Allocative efficiency A state of the economy in which production is in accordance with consumer preferences; in particular, every good or service is produced up to the point where the last unit provides a marginal benefit to society equal to the marginal cost of producing it.

13. In a recent paper, economists Patricia M. Flynn and Michael A. Quinn state the following:

We find evidence that Economics is a good choice of major for those aspiring to become a CEO [chief executive officer]. When adjusting for size of the pool of graduates, those with undergraduate degrees in Economics are shown to have had a greater likelihood of becoming an S&P 500 CEO than any other major.

A list of famous economics majors published by McMaster University includes business leaders Steve Ballmer (CEO of Microsoft), Warren Buffet, Sam Walton (Founder of Walmart), and Scott McNealy (CEO of SUN Microsystems). The list also includes politicians Ronald Reagan (former US president), Stephen Harper (Prime Minister of Canada), Manmohan Singh (Prime Minister of India), and Kofi Annan (Secretary General of the United Nations). Why might studying economics be particularly good preparation for being the top manager of a corporation or a leader in government?

Based on Patricia M. Flynn and Michael A. Quinn, "Economics: A Good Choice of Major for Future CEOs," *Social Science Research Network*, November 28, 2006; and McMaster University "Famous Economics Majors," accessed February 12, 2012, http://www.economics.mcmaster.ca/documents/Famous_Econ.pdf.

Studying economics be particularly good preparation for being the top manager of a corporation or a leader in government, because

- ☐ A. economics teaches us to look for the tradeoffs in every important decision.
- ☐ B. economics teaches us to give a correct assessment of the situation and make a prediction.
- ☐ C. economics helps to understand the costs of an action and weigh them against its benefits.
- ☐ D. A and B only.
- ☒ E. A, B, and C.

14. Productive efficiency occurs when a good or service is produced at the lowest possible cost. Allocative efficiency occurs when production is in accordance with consumer preferences.

15. Equity is

- ☐ A. always achieved by the market.
- ☐ B. when poorer people's income is growing more rapidly than more wealthy people's income.
- ☐ C. an exactly equal distribution of income.
- ☒ D. the fair distribution of economic benefits.

16. How do market economies ultimately determine what goods and services are produced, how the goods and services will be produced, and who will receive the goods and services?

- ☐ A. Consumers determine what goods and services are produced, firms determine how to produce them, and equity determines who will receive them.
- ☐ B. Firms determine what goods and services are produced and how to produce them, and markets determine who will receive them.
- ☒ C. Consumers determine what goods and services are produced, firms determine how to produce them, and markets determine who will receive them.
- ☐ D. Firms determine what goods and services are produced, technology determines how to produce them, and markets determine who will receive them.
- ☐ E. The government determines what goods and services are produced, how to produce them, and who will receive them.

17. Every society faces trade-offs because we live in a world of scarcity. Suppose a student-athlete has the opportunity to earn \$600,000 next year playing for a minor league baseball team, \$700,000 next year playing for a European professional football team, or \$0 returning to college for another year.

The opportunity cost of the student-athlete returning to college next year is \$. (Enter your response as an integer.)

18. What goods and services will be produced, how the goods and services will be produced, and who will receive the goods and services are determined:
- ☐ A. in centrally planned economies by the government.
 - ☐ B. in market economies by the decisions of households and firms interacting in markets.
 - ☐ C. in mixed economies by the government.
 - ☐ D. in centrally planned economies partly by the decisions of buyers and sellers interacting in markets and partly by the government.
 - ☒ E. both a and b are true.
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19. Economists use models

- ☐ A. to prove that theories are true.
- ☒ B. to answer questions and analyze issues.
- ☐ C. to describe the real world exactly.
- ☐ D. to disprove economic data.

Economic data is used

- ☐ A. to prove that a model is true.
 - ☒ B. to test models.
 - ☐ C. only if all relevant data is available.
 - ☐ D. to take the place of an economic model.
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20. A *hypothesis* in an economic model is

- ☐ A. a statement that may be either correct or incorrect about an economic variable.
 - ☐ B. usually about a causal relationship.
 - ☐ C. tested before it can be accepted (or not rejected).
 - ☒ D. all of the above.
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21. Economic models are:

- ☒ A. simplified versions of reality designed to analyze "what is" to explain human decision making in any context.
 - ☐ B. complex mathematical formulas designed to identify optimal market outcomes and guide policymakers.
 - ☐ C. simplified versions of reality designed to analyze "what is" to explain human decision making in a business context.
 - ☐ D. complex mathematical formulas designed to forecast future economic events such as inflation.
 - ☐ E. simplified versions of reality designed to analyze "what ought to be" to help the government improve outcomes.
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22. To develop a model that will answer economic questions, economists typically:

- ☐ A. first analyze statistics, then identify sources of correlation, and finally build a simplified model to explain this correlation.
 - ☐ B. first start with any simplified model and then revise as necessary to make the model as complex as possible.
 - ☐ C. first make a testable hypothesis, then formulate assumptions, test the assumptions, and finally revise the model if necessary.
 - ☒ D. first make simplifying assumptions, then formulate a hypothesis, test the hypothesis, and finally revise the model if necessary.
 - ☐ E. first formulate a hypothesis that may or may not be correct, then build a simplified model to explain this hypothesis, and finally make simplifying assumptions.
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23. Any model is based on making assumptions because

- ☐ A. models have to be simplified to be useful.
 - ☐ B. we cannot analyze an economic issue unless we reduce its complexity.
 - ☒ C. both a and b.
 - ☐ D. neither a nor b.
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24. Indicate whether each of the following is primarily a microeconomic⁴ issue or a macroeconomic⁵ issue.

- a. The effect of higher cigarette taxes on the quantity of cigarettes sold. This is a microeconomic issue.
- b. The effect of higher income taxes on the total amount of consumer spending. This is a macroeconomic issue.
- c. The reasons for the economies of East Asian countries growing faster than the economies of sub-Saharan African countries. This is a macroeconomic issue.
- d. The reasons for low rates of profit in the airline industry. This is a microeconomic issue.

4: Definition

Microeconomics The study of how households and firms make choices, how they interact in markets, and how the government attempts to influence their choices.

5: Definition

Macroeconomics The study of the economy as a whole, including topics such as inflation, unemployment, and economic growth.

25. Macroeconomics examines:

- ☐ A. how individual firms make choices, such as how they decide what prices to charge.
- ☐ B. the economy as a whole, such as how much new machinery and equipment an individual firm decides to purchase.
- ☐ C. policy issues, such as how the government can influence the decisions of individual households.
- ☒ D. the economy as a whole, such as how rapidly the economy grows.
- ☐ E. all of the above.

